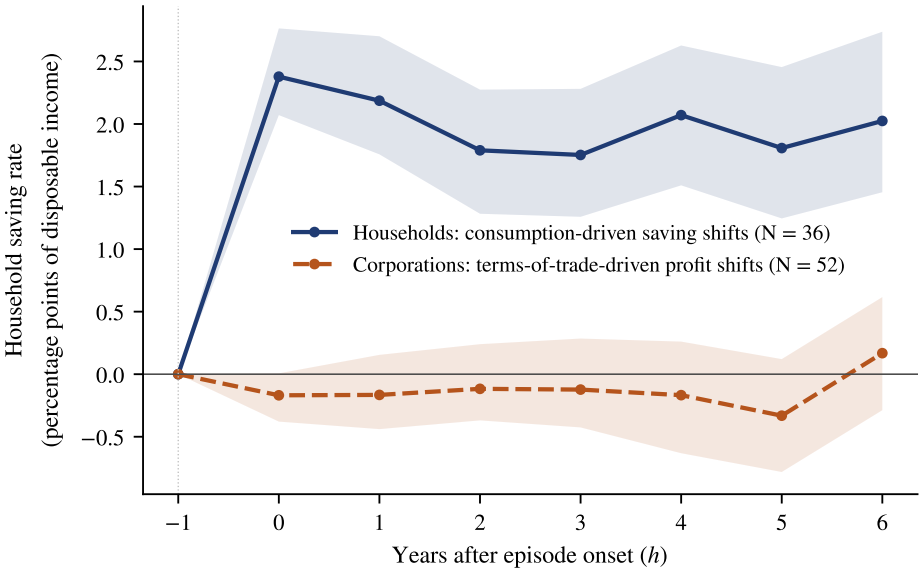
Figure 4. Household saving rate after saving episodes



Notes: Cumulative change in the household gross saving rate (gross saving over gross disposable income, percentage points) per episode, not normalized. Year −1 is the reference year and equals zero by construction. Shaded areas are 68 percent confidence bands from a country-cluster bootstrap (499 replications). Episodes: country-specific top/bottom decile changes in the household saving rate with the consumption-share change exceeding the disposable-income-share change (households), or in the terms of trade with operating surplus moving in the same direction (corporations); increases and decreases pooled with signs aligned. Local projections with country and year fixed effects, estimated by two-step weighted least squares; 42 economies, 1970–2025.